Conflict of Interest Policy

July 2026
V2

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Introduction

Luna Wealth Asset Management Ltd ("**LWAM**" or the "**Company**"), whose headquarters are at 4 Foti Pitta Street, Floor 9, 1065 Nicosia, Cyprus, is a company incorporated and registered in the Republic of Cyprus under Cyprus Company Law and is authorized and regulated as a Cyprus Investment Firm (CIF) by the Cyprus Securities and Exchange Commission ("**CySEC**"), under License Number 379/19, in accordance with the Investment Services and Activities and Regulated Markets Law of 2017 (Law 87(I)/2017) ("**Law**"), as amended from time to time, and subject to the European Parliament Markets in Financial Instrument Directive II ("**MiFID II**").

Legal Scope

Following the implementation of the Markets in Financial Instruments Directive 2014/65/EU (MiFID II), as well as regulation (EU) 600/2014 ("**MiFIR**") and Commission Delegated Regulation (EU) 2017/565, ESMA Guidelines on certain aspects of the MiFID II compliance function requirements (ESMA35-36-1626), ESMA Guidelines on MiFID II product governance requirements (ESMA35-43-620) and in accordance with the provisions of the Investment Services and Activities and Regulated Markets Law of 2017 Law 87(I)/2017 (hereinafter "the **Law**"), as well as CySEC Directive DI87-01 on the Safeguarding of Client Assets, Product Governance Obligations, and Inducements. The Company is required to establish and provide its clients and potential clients a Conflicts of Interest Policy and take all reasonable steps to implement effective procedures for the identification and management of conflicts of interest.

Objective

The primary objective of this Policy is to safeguard the interests of the Company's clients by ensuring that potential conflicts of interest are properly identified, managed, and disclosed. This helps maintain the integrity and fairness of the Company's operations and promotes trust among clients.

Roles and Responsibilities

Board of Directors

The Board of Directors is responsible for the overall approval and oversight of this Policy. They ensure that the Policy is implemented effectively and reviewed periodically.

Compliance Department

The Compliance Department is responsible for monitoring adherence to this Policy, providing training, and ensuring that conflicts of interest are managed in accordance with regulatory requirements.

Employees

All employees are responsible for understanding and adhering to this Policy. They must promptly disclose any actual or potential conflicts of interest to the Compliance Department and cooperate with any measures to manage or mitigate such conflicts.

General

The Policy applies to all directors, employees, tied agents, and other relevant persons as defined under MiFID II. It provides a framework for identifying and managing conflicts of interest that could potentially harm clients' interests.

All employees are required to perform the duties and activities of their position with the highest level of integrity and independence, in a professional and ethical manner. They must also ensure that they avoid or eliminate any conflict of interest or situation that could reasonably be perceived as a conflict of interest and immediately report it to their manager. Although this policy details certain behaviours that may lead to a conflict of interest or the appearance of a conflict of interest, it is impossible to anticipate all situations that could lead to one. Employees may also inadvertently find themselves in a situation that leads to or could be perceived as a conflict of interest. These situations must also be disclosed.

Employees must ensure that no conflict exists or could appear to exist between their personal interests and those of the Company and or its clients, partner, vendor, supplier or other related entity.

Employees must not use confidential information for their personal benefit during or after employment with the Company or be in a position where they could benefit directly or indirectly from a Company business transaction.

The Company shall not receive any remuneration, discount or nonmonetary benefit for routing client orders to a particular trading venue or execution venue which would infringe the requirements on conflicts of interest.

Conflict of Interest

A conflict of interest in the context of MiFID II is defined as a situation where the interests of a firm or a relevant person are at odds with the interests of a client, which may lead to potential harm to the client.

Underwriting Activities

In addition to the general conflict of interest procedures of LWAM, specific measures are applied to underwriting activities to ensure compliance with MiFID, the Investment Services and Activities Law, and relevant CySEC circulars. Underwriting transactions present potential conflicts, particularly when the firm acts as both an underwriter and advisor to the issuer, allocates securities to investors where relationships may exist, or holds proprietary positions in the securities being issued. To mitigate these risks, LWAM implements the following procedures:

- All underwriting transactions are reviewed and approved by an independent Risk and Compliance Committee to identify and assess any actual or potential conflicts.
- Allocation decisions are governed by a pre-defined allocation policy, ensuring equitable treatment of all clients and prohibiting preferential allocations to related parties or employees. Employees involved in underwriting are required to disclose any personal or familial interests in the issuer or securities being underwritten before any transaction is executed.
- The firm maintains a comprehensive conflict of interest register documenting identified conflicts, mitigation actions, and approvals.

- Furthermore, clear disclosure is provided to issuers and investors regarding the firm's role, fees, potential conflicts, and any proprietary positions, ensuring transparency and informed decision-making.
- Compliance monitoring and internal audits are conducted regularly to verify adherence to these procedures.
- Any significant conflict that cannot be mitigated or disclosed in accordance with regulatory obligations is escalated immediately to the Board of Directors and, where necessary, reported to CySEC.

Granting Credits or Loans to Investors to Allow Transactions in Financial Instruments

Where LWAM grants credits or loans to investors to enable transactions in financial instruments, the Firm shall identify, assess, and manage any actual or potential conflicts of interest that may arise from such arrangements. In particular, LWAM shall ensure that credit decisions are made independently, in the best interests of the client, and are not influenced by incentives to promote particular financial instruments, increase transaction volumes, or generate additional revenues for the Firm. Appropriate organisational and administrative arrangements, including segregation of duties, independent oversight, and ongoing monitoring by the Compliance and Risk Management functions, are maintained to ensure that clients are treated fairly and that any conflicts of interest are prevented or effectively managed in accordance with the Firm's Conflict of Interest Policy and applicable regulatory requirements.

Relevant Person

A relevant person in the context of a conflict of interest is any individual who is involved in the services provided by a firm and whose role or relationship could potentially lead to a conflict of interest. According to Article 2 of the Commission Delegated Regulation (EU) 2017/565, which supplements MiFID II, a relevant person includes:

- A director, partner, or equivalent, manager, or tied agent of the firm.
- An employee of the firm or of a tied agent of the firm, as well as any other natural person whose services are placed at the disposal and under the control of the firm and who is involved in the provision by the firm of investment services and activities.
- A natural person who is directly involved in the provision of services to the firm or its tied agents under an outsourcing arrangement for the purpose of the provision of investment services and activities by the firm.

Identifying Conflicts of Interest

In identifying conflicts of interest, the Company will consider whether the Company or a relevant person:

- Is likely to make a financial gain or avoid a financial loss at the expense of a client.
- Has an interest in the outcome of a service provided to a client or of a transaction carried out on behalf of a client, which is distinct from the client's interest in that outcome.
- Has a financial or other incentive to favor the interest of another client or group of clients over the interests of the client.

- Carries on the same business as the client.
- Receives or will receive an inducement from a third party in relation to a service provided to a client, in the form of monies, goods, or services, other than the standard commission or fee for that service.
- More examples of potential conflicts of interest can be found in Appendix 2. This should not be interpreted as an exhaustive list of all circumstances that could lead to a real or perceived conflict of interest.

Managing Conflicts of Interest

The Company will adopt the following measures to manage conflicts of interest:

Information Barriers

Implementing Chinese Walls to prevent the exchange of information between relevant persons engaged in activities involving a risk of conflict of interest, including the governing of access to electronic data so that the persons engaged in each department, do not have access to records and information concerning the subject matter of another department and which are not considered necessary for the execution of specific work.

Separate Supervision

Supervising separately relevant persons whose principal functions involve carrying out activities on behalf of clients with conflicting interests. Moreover, the Company follows the four-eyes principle with respect to the supervision of the Company's activities.

Remuneration Policies

Structuring remuneration policies to prevent any conflict of interest from influencing the conduct of relevant persons. The Company shall ensure that it does not remunerate, or assess the performance of its staff in a way that conflicts with its duty to act in the best interests of its clients. In particular, it shall not make any arrangement by way of remuneration, sales targets or otherwise that could provide an incentive to its staff to recommend a particular financial instrument to a retail client when the investment firm could offer a different financial instrument which would better meet that client's needs.

Disclosure

When organizational measures are insufficient to ensure that risks of damage to client interests will be prevented, the Company will disclose the nature and source of the conflict of interest to the client before undertaking business on their behalf.

Procedures

Duty to Disclose

All relevant persons must disclose any actual or potential conflicts of interest to the Compliance Officer without delay.

Assessing Conflicts of Interest

The Compliance Officer will assess all disclosures to determine whether a conflict of interest exists and the appropriate measures to manage it.

Record-Keeping

The Company will maintain and regularly update a record of the kinds of investment or ancillary service or investment activity carried out by or on behalf of the Company in which a conflict of interest entailing a material risk of damage to the interests of one or more clients has arisen or, in the case of an ongoing service or activity, may arise. The Compliance Officer shall maintain a conflict of interest Register as presented in Appendix 1.

Client Disclosure

Where the Company identifies a conflict of interest that could not be prevented, it will disclose the nature and source of the conflict to the client in a durable medium and in sufficient detail to enable the client to make an informed decision with respect to the service in the context of which the conflict of interest arises.

Training and Awareness

The Company will provide training to all relevant persons on the identification, prevention, and management of conflicts of interest. This training will be part of the induction program for new employees and ongoing training for existing employees.

Monitoring and Review

The Compliance Officer will monitor compliance with this policy and report any findings to the Board of Directors at least annually. The policy will be reviewed at least annually and updated as necessary to ensure it remains effective.

Non-Compliance

Non-compliance with this policy may result in disciplinary action, up to and including termination of employment or contract.

Appendix 1 - Conflict of Interest Register

Dates of Conflict (From - To)	Name of person declaring a conflict	Position / Department	Type of Conflict	Description of Conflict	Actions / Measures taken in response to the conflict	Date implemented	People who are aware of the conflict	Comments

Appendix 2 - Potential Conflicts of Interest

If a conflict of interest arises the affected parties can be the Company, its employees or its clients, Specifically, a conflict of interest may arise between the following parties:

- Between the client and the Company
- Between two clients of the Company
- Between the Company and its employees
- Between a client of the Company and on employee/manager of the Company
- Between Company's Departments

Potential conflicts of interest circumstances may include, but are not limited to the following:

- The Company or a company of the Company's group may engage in business and trading activities for its own account and/or client accounts whilst other Clients ore active in relevant markets at the same time.
- A transaction is effected in financial instruments in respect of which the Company or a company of the Company's group, or it's director or employee Is contemporaneously trading or has traded on its own account or has either a long or short postion
- The Company or Relevant Person receives substontial gifts or entertainment (including non-monetary inducements) that may influence behaviour in a way that conflicts with the interest of the client of the Company.
- A transaction is effected in financial instruments in respect of which the Company may benefit from a comission, fee, mark up or mark-down payable otherwise than by a client, and/or the Company may also be remunerated by the counterparty to any such transaction.
- A director or employee of the Company is director of a fund and/or any company which is a client of the Company.
- A transaction is effected in financial instruments issued by on affiliated company or the client or customer of an affiliated company
- A transaction is effected in securities issued by an affiliated Company or the client or customer of on aflilioted Company/
- The Company deals on behalf of the client with, or in the securities of, an affiliated Company.
- A transaction is effected in units or shares of connected investment trusts or unit trusts or open ended investment companies or any Company of which the Company or on affiliated Company is the manager, authorised corporate director, operator, banker, adviser, custodian, administrator, trustee or depository.
- Introducing agents may have other interests than the Company and/or their clients.
- Representatives/Introducing agents of the Company may be aware of large client orders to acquire or dispose of a large quantity of a particular financial instrument and either the Company or its representatives/introducing agents purchase (or sell) the financial instrument beforehand.

This should not be interpreted as an exhaustive list of all circumstances that could lead to a real or perceived conflict of interest.